

RBI Master Circular on Loans and Advances

Statutory and Other Restrictions — Restructuring, Asset Classification and Fair Practices (Illustrative Excerpt)

This is a sample, illustrative excerpt generated for testing a RAG knowledge-retrieval pipeline. It paraphrases general regulatory concepts and is not an actual RBI circular; it must not be relied upon for compliance purposes.

1. Classification of Restructured Accounts

Where a bank restructures an account on account of the borrower's genuine financial difficulty, the restructured account shall continue to be classified as per the extant asset classification norms applicable immediately prior to restructuring, provided the account was not already in default at the time of restructuring. This is referred to as the 'standstill clause' and applies during the review period, ordinarily not exceeding 30 days from the date of restructuring.

If the account was classified as a Non-Performing Asset (NPA) prior to restructuring, it shall continue to be classified as an NPA even after restructuring, and may only be upgraded to 'Standard' after the borrower demonstrates satisfactory performance during a specified monitoring period, as defined under the bank's Board-approved policy.

Banks are required to maintain additional provisioning on standard restructured accounts for the period specified in the applicable prudential framework, over and above the standard asset provisioning requirement.

2. Income-Shock and Financial Hardship Restructuring

Restructuring requests arising from a genuine, documented income disruption — including job loss, involuntary salary reduction, or medical emergency — may be considered by banks under their Board-approved restructuring policy, subject to an assessment of the borrower's post-restructuring repayment viability. Banks must ensure that restructuring is not used as a means to mask asset quality deterioration, and that the asset classification treatment set out in Section 1 above is applied consistently regardless of the specific modification (moratorium, tenure extension, or rate reset) offered to the borrower.

3. Asset Classification — General Norms

Category	Criteria (illustrative)
Standard	Regular servicing; overdue less than 90 days
Sub-standard	Overdue 90 days or more, remained NPA for up to 12 months
Doubtful	Remained in sub-standard category for 12 months

Loss	Identified as a loss asset by the bank, auditors, or supervisors, with no realisable security value
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4. Fair Practices Code — Applicant Communication

Banks must communicate all material terms of a loan, including interest rate, processing charges, prepayment charges, and the specific grounds on which a loan application may be declined, in a language understood by the borrower. Rejection of an application must be communicated in writing along with the specific reasons for rejection, within the timelines specified in the bank's Board-approved Fair Practices Code.

5. Collateral and Margin Requirements — General Guidance

Banks are expected to maintain a Board-approved policy on acceptable forms of collateral and applicable margin requirements for secured advances, reviewed periodically by the Risk Management Committee. Banks must exercise particular caution regarding the acceptance of collateral whose value is subject to high volatility or lacks an established regulatory framework for valuation and enforcement.